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Keppel DC REIT

Strong rental reversions in 1Q26

17 April 2026

ACCUMULATE (Maintained)

LAST CLOSE PRICE	SGD 2.360
FORECAST DIV	SGD 0.109
TARGET PRICE	SGD 2.370
TOTAL RETURN	5.1%

COMPANY DATA

BLOOMBERG CODE:	KDCREIT SP
O/S SHARES (MN) :	2,445
MARKET CAP (USD mn / SGD mn) :	4419 / 5622
52 - WK HI/LO (SGD) :	2.43 / 1.89
3M Average Daily T/O (mn) :	11.70

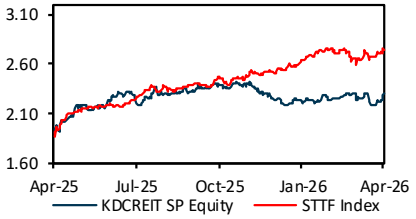
MAJOR SHAREHOLDERS (%)

KEPPEL CORP LTD	19.1%
BLACKROCK INC	7.4%
VANGUARD GROUP INC	3.7%

TOTAL RETURN (%)

	1MTH	3MTH	YTD
COMPANY	(0.4)	6.1	4.2
STTF	3.9	6.3	8.6

PRICE VS. STTF



Source: Bloomberg, PSR

KEY FINANCIALS

Y/E Dec (S$mn)	FY24	FY25	FY26e	FY27e
Gross Rev	310	441	478	503
NPI	260	383	416	438
Dist. Inc.	173	268	280	292
P/NAV (x)	1.55	1.38	1.38	1.37
DPU, adj (cents)	9.45	10.38	10.93	11.35
Dist. Yield	4.0%	4.4%	4.6%	4.8%

Source: Company Data, PSR

VALUATION METHOD

DDM (Cost of Equity: 6.83%; Terminal g: 1.75%)

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SINGAPORE | REAL ESTATE (REIT) | 1Q26 UPDATE

- 1Q26 DPU of 2.833 Singapore cents (+13.2% YoY) was in line with our expectations, forming 26% of our FY26e estimates. Growth was driven by the acquisitions of Tokyo Data Centre 3 and the remaining interests in Keppel DC Singapore 3 & 4, as well as stronger contributions from contract renewals and escalations, partially offset by the divestment of Kaltenbach Data Centre.
- 1Q26 portfolio rental reversion remained strong at +51% (FY25: +45%), though this was based on a very small percentage of total leases (c.0.3%). Cost of debt declined by 20bps QoQ (40bps YoY) to 2.6% and is expected to remain stable through FY26e. Portfolio occupancy eased slightly, by 0.2 ppt, to 95.6%, due to client downsizing of non–data centre space, while portfolio WALE stayed healthy at 6.5 years.
- We maintain ACCUMULATE with an unchanged DDM-derived TP of S$2.37. There is no change to our forecast. Potential recovery of over S$55mn in overdue rent from Bluesea remains a key catalyst, though still unresolved. We expect rental reversions to remain strong, but potentially lumpy for the 6% of rental income due for renewal per annum in FY26 and FY27, depending on lease maturities. There is limited first-order impact from the ongoing Middle East conflict, as electricity costs are fully passed through to colocation tenants; only common areas and vacant spaces are borne by KDCREIT, accounting for less than 3% of operating expenses. The stock trades at an FY26e DPU yield of 4.6%.

Results at a glance

(SGD mn)	1Q26	1Q25	YoY	Comments
Gross revenue	**121.0**	**102.2**	**18.4%**	**Contribution from the acquisition of Tokyo DC 3, higher rent from contract renewals and escalations, partially offset by the divestment of Kelsterbach Data Centre.**
Net property inc.	105.2	88.1	19.4%	Guangdong DCs rental income recognised under gross revenue is net off via loss allowance in property expenses.
Finance costs	(15.1)	(12.5)	20.8%	New acquisition loans drawn in 4Q25. Cost of debt improved 20bps QoQ to 2.6% in 1Q26.
Distributable inc.	74.6	61.8	20.7%	
DPU (cents)	**2.83**	**2.50**	**13.2%**	

Source: Company , PSR

The Positives

+ Healthy financial metrics. The average cost of debt declined 20bps QoQ to 2.6%, with 84.8% of loans on fixed rates. Aggregate leverage stood at 35.1%, providing c.S$550mn of debt headroom against the 40% internal cap to support acquisitions. We expect FY26e cost of debt to remain stable at 2.6%, with 8.5% of debt due for refinancing in FY26.

The Negative

- Ongoing weakness at the Guangdong Data Centres. KDCREIT will continue to recognise loss allowances for overdue rent. To date, Bluesea, the master lessee, has accumulated over S$55mn in unpaid rent. Chip availability continues to be a bottleneck in China.

Outlook

Global uncertainty has increased amid the Middle East conflict, driving higher energy prices and inflationary pressures. The first-order impact from higher utility costs is minimal for KDCREIT, as these are largely passed through to tenants. However, second-order effects may emerge as tenants face higher operating costs and occupancy pressures, which could in turn affect renewal negotiations and rental reversions in the long run. KDCREIT continues to be on the lookout for accretive acquisitions in established data centre hubs, including Japan, South Korea, and Europe, with a focus on hyperscale customers.

Maintain ACCUMULATE with an unchanged TP of S$2.37.

Financials

Statement of Total Return and Distribution Statement

Y/E Dec, SGD mn	FY23	FY24	FY25	FY26e	FY27e
Gross revenue	**281**	**310**	**441**	**478**	**503**
Property expenses	(36)	(50)	(58)	(62)	(65)
Net property income	**245**	**260**	**383**	**416**	**438**
Net Finance (Expense)/Inc	(38)	(36)	(34)	(40)	(48)
Manager's fees	(27)	(28)	(38)	(45)	(46)
Other items	(7)	(8)	(12)	(14)	(14)
FV change, Inv. Properties	(28)	121	162	-	-
Total Return Before Tax	**138**	**341**	**473**	**316**	**330**
Taxation	(16)	(27)	(38)	(25)	(27)
Total Return After Tax	**122**	**314**	**435**	**291**	**303**
Unitholders	119	301	428	284	296
Non-controlling interest	4	13	7	7	7
Distribution adjustments	49	(128)	(160)	(3)	(5)
Income available for distribution	**168**	**173**	**268**	**280**	**292**

Per unit data

Y/E Dec	FY23	FY24	FY25	FY26e	FY27e
NAV (S$)	1.34	1.53	1.71	1.71	1.72
DPU (cents)	9.38	9.45	10.38	10.93	11.35

Cash Flow

Y/E Dec, SGD mn	FY23	FY24	FY25	FY26e	FY27e
CFO					
Total Return After Tax	**122**	**314**	**435**	**291**	**303**
Adjustments	111	(55)	(60)	83	92
WC changes	(14)	(12)	(98)	(8)	(4)
Cash generated from ops	**220**	**247**	**277**	**366**	**391**
Others	(9)	(23)	(14)	(25)	(27)
Cashflow from ops	**211**	**224**	**263**	**341**	**364**
CFI					
Acquisitions	-	(1,097)	(1,165)	-	-
Capex, net	(26)	(58)	(42)	(49)	(49)
Others	11	89	82	11	7
Cashflow from investments	**(15)**	**(1,066)**	**(1,126)**	**(38)**	**(43)**
CFF					
Share issuance, net	-	1,001	489	-	-
Distributions	(226)	(206)	(254)	(315)	(327)
Others	(11)	206	651	(5)	(5)
Cashflow from financing	**(236)**	**1,001**	**886**	**(320)**	**(333)**
Net change in cash	**(41)**	**158**	**24**	**(17)**	**(11)**
Effects of exchange rate	0	(1)	2	-	-
Ending cash	**150**	**311**	**337**	**319**	**309**

Source: Company, Phillip Securities Research (Singapore) estimates

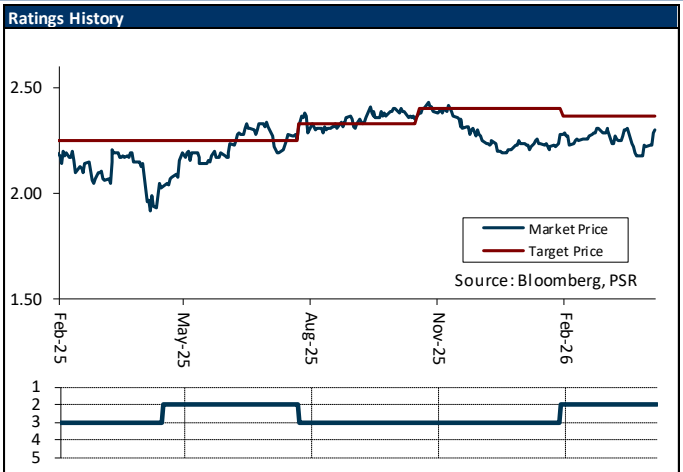
Balance Sheet

Y/E Dec, SGD mn	FY23	FY24	FY25	FY26e	FY27e
ASSETS					
Investment properties	3,656	4,904	6,133	6,182	6,232
Others	141	191	99	95	88
Total non-current assets	**3,797**	**5,096**	**6,232**	**6,277**	**6,320**
Cash	150	317	352	319	309
Trade receivables	54	106	204	224	236
Others	6	25	93	93	93
Total current assets	**209**	**448**	**649**	**637**	**638**
Total Assets	**4,007**	**5,543**	**6,881**	**6,914**	**6,957**
LIABILITIES					
Borrowings	72	87	313	313	313
Trade payables	70	287	127	139	147
Others	6	12	19	19	19
Total current liabilities	**149**	**387**	**458**	**471**	**478**
Borrowings	1,408	1,628	2,077	2,077	2,077
Others	96	101	115	115	115
Total non-current liabilities	**1,504**	**1,730**	**2,193**	**2,193**	**2,193**
Total Liabilities	**1,653**	**2,116**	**2,651**	**2,664**	**2,671**
Net assets	**2,354**	**3,427**	**4,230**	**4,250**	**4,286**
Represented by:					
Unitholders' funds	**2,311**	**3,372**	**4,168**	**4,184**	**4,215**
Non-controlling interest	43	55	62	66	71

Valuation Ratios

Y/E Dec	FY23	FY24	FY25	FY26e	FY27e
P/NAV (x)	1.76	1.55	1.38	1.38	1.37
Distribution Yield	4.0%	4.0%	4.4%	4.6%	4.8%
NPI yield	6.7%	6.1%	6.9%	6.8%	7.1%
Growth & Margins (%)					
Growth					
Revenue	1.4%	10.3%	42.2%	8.3%	5.3%
Net property income (NPI)	-3.0%	6.3%	47.2%	8.5%	5.3%
Distributable income	-9.3%	3.0%	55.2%	4.6%	4.0%
DPU	-8.1%	0.7%	9.8%	5.3%	3.9%
Investment Property	0.5%	34.1%	25.1%	0.8%	0.8%
Margins					
NPI margin	87.1%	83.9%	86.8%	87.0%	87.0%
Key Ratios					
Gearing (%)	37.0%	30.9%	34.7%	34.6%	34.4%

Ratings History



PSR Rating System

Total Returns	Recommendation	Rating
> +20%	Buy	1
+5% to +20%	Accumulate	2
-5% to +5%	Neutral	3
-5% to -20%	Reduce	4
< -20%	Sell	5

Remarks

We do not base our recommendations entirely on the above quantitative return bands. We consider qualitative factors like (but not limited to) a stock's risk reward profile, market sentiment, recent rate of share price appreciation, presence or absence of stock price catalysts, and speculative undertones surrounding the stock, before making our final recommendation

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